Leadership

Based on OpenStax, *Organizational Behavior* (2019), print ISBN 978-1-59399-877-6, CC BY-NC-SA 4.0. All stories and examples below come from the chapter.

The big idea: leadership is a **relationship of influence** between a leader and followers who depend on each other to reach a shared goal. A title doesn't make you a leader; **followers decide** whether to accept you. And there is **no one best way** to lead: it depends on the leader, the followers, and the situation. Researchers have tried to explain good leadership three ways: **traits** (who leaders are), **behaviors** (what they do), and **situations** (what fits when).

1 Leader or manager?

STORY **The new general manager nobody followed**

John Arroyo became general manager of the **Springfield Sea Lions**, a minor league baseball team, replacing a much-loved old-timer, T.J. Grevin. He felt powerless. His pep talk: "I'm the general manager—the CEO of this ball club! In time, the staff will respect me." After his first season, sales were down and some long-time staff were rumored to be thinking about leaving. Then he announced he would **spend a day in each staff member's job** (ticket taker, hot dog vendor, janitor, even the mascot) while they watched the game from his box, plus a **T.J. Grevin Award** for a staff member. The staff cheered.

What it shows: the title made John a manager, not a leader. Leadership "revolves around the followers' acceptance or rejection of the leader," so he had to earn it.

	Manager	Leader
Role	Plans, organizes, directs, controls	Influences people toward a shared goal
Gets there by	Being **appointed**	Often **emerging** from the group
Power from	The organization's "carrots and sticks"	Expertise, personality, relationship
Why comply	Authority, carrots and sticks (**extrinsic**)	"because they want to" (**intrinsic**)

You need both: good leaders often need to manage, and good managers often need to lead. Grace Hopper: "You don't manage people, you manage things. You lead people."

2 How leadership works and how leaders emerge

Five parts that shape each other: the **leader**, the **followers**, the **context**, the **process** (their working relationship), and the **consequences** (e.g. trust or suspicion). Followers matter most, says Edwin Hollander: e.g. people with high self-esteem respond to **participative** leaders, those with low self-esteem to **supportive** ones. Context matters too: tactics that work for leading assembly line workers "might fail miserably" in a self-managing team or a research lab. In **leader-member exchange (LMX)**, the leader's one-on-one relationships create an **in group** (higher performance and satisfaction) and an **out group**.

Kinds of leaders: a **formal** leader is the official one (Jack Welch at GE); an **informal** leader is the one the group itself looks to, like an influential player on a sports team. A **designated** leader is put in place from outside (West Point grooms such people); an **emergent** leader rises from within the group.

STORY **Power goes to whoever can solve the big problem**

Salancik and Pfeffer traced who led American companies: **engineers** in the 1950s (firms competed on product design), then **marketing** (advertising), then **finance and legal** experts (mergers, takeovers).

What it shows: leadership flows to whoever has the scarce knowledge the group needs now. Steady contributors also earn **idiosyncrasy credits** (status from competence) to steer the group.

3 How leaders influence people: power and style

Power	People believe the leader...	Typical response
Reward	can give things they want	Calculating ("How much am I getting?")
Coercive	can punish them	Alienation and resistance
Legitimate	has the "right" to influence them	Mixed results (so does reward power)
Referent	is someone they want to be accepted by	Identification with the leader
Expert	has knowledge they need	Commitment to the leader's goals

Why being liked helps: praise from someone we like means more, and punishment from someone we love ("tough love" from a parent) stings less. So **referent** power **magnifies** other powers, while **coercive** power **dilutes** them. **Rationality** (facts and logic) is the most effective tactic. These five types come from French and Raven.

EXAMPLE **The tornado-shelter doctor vs. the surgeon**

A doctor running a hastily built tornado shelter may simply command the nonmedical volunteers. A surgeon lets the whole team help plan an operation, but "once surgery begins, however, the surgeon is completely in charge."

What it shows: leaders choose how much power to share. Muczyk and Reimann's four styles: **directive autocrat** (decides and supervises closely, like the doctor), **permissive autocrat** (decides, lets people choose how), **directive democrat** (group helps decide, leader directs the doing, like the surgeon), **permissive democrat** (group shares both, as in high-involvement firms).

Similar ideas: **Tannenbaum and Schmidt's continuum** runs from boss-centered to high worker freedom (autocratic, participative, free-rein). A **Theory X** leader assumes people dislike work and must be controlled; a **Theory Y** leader trusts people to direct themselves. In a study of **3,600 managers from 14 countries**, most held Theory X views.

4 Traits: are leaders born?

STORY **The "great man" theory**

Ancient stories like Homer's *Odyssey* painted leaders as heroes. From them came the **great man theory**: some people (Alexander the Great, Joan of Arc, Napoleon, Gandhi) are **born** to lead.

What it shows: this belief started the search for leader traits. Verdict: the evidence "does not provide a strong base of support for the notion that leaders are born." Genes may play a part, but "a person is not born with self-confidence."

Locke's core traits ("the right stuff"): **drive**, **leadership motivation**, **honesty and integrity**, **self-confidence**, **cognitive ability**, **knowledge of the business**. They are only **preconditions**; skills and vision matter too.

Gender and more: men emerge as leaders more often, but **gender role** predicts better than sex: "masculine" traits (assertive, competitive) help, and **androgynous** people emerge just as often. Men tend to lead **more autocratically**, women **more democratically**. Leaders in a **positive mood** spread enthusiasm, and **high self-monitors** (who read social cues and adjust) emerge as leaders more often.

5 Behaviors: what do effective leaders do?

Two research programs of the late 1940s found **two matching kinds of behavior**:

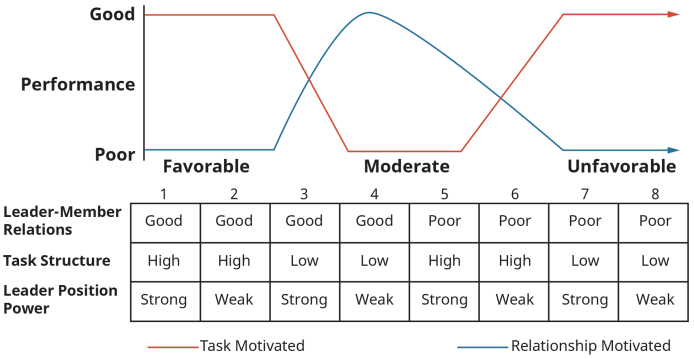
	People side	Task side
Ohio State	**Consideration**: supportive, friendly	**Initiating structure**: schedules, plans
Michigan	**Employee- (member-) centered**	**Job-centered**

Leaders can show **any mix** of both. Results varied: consideration raised **satisfaction** but not clearly **performance**, so there is "no one best style of leader behavior for all situations." **Blake and Mouton's Leadership Grid** scores concern for production and for people (1 to 9). Its five styles: **1,1 Indifferent**, **1,9 Accommodating**, **5,5 Status quo**, **9,1 Controlling**, **9,9 Sound**. They call 9,9 always best; research disagrees (in an emergency, there's little time for people-oriented behavior).

6 Situations: what works when?

Fiedler's contingency model. Leaders rate their **least-preferred coworker (LPC)**. A favorable rating (**high LPC**) = **relationship-oriented**; a negative one (**low LPC**) = **task-oriented**. Situations are rated on (1) **leader-member relations**, (2) **task structure**, (3) **position power**.

- Very favorable or very unfavorable → **task-oriented** leaders win.
- In between → **relationship-oriented** leaders win.
- Style is fairly fixed, so **fit the situation to the leader**.



	1	2	3	4	5	6	7	8
Leader-Member Relations	Good	Good	Good	Good	Poor	Poor	Poor	Poor
Task Structure	High	High	Low	Low	High	High	Low	Low
Leader Position Power	Strong	Weak	Strong	Weak	Strong	Weak	Strong	Weak

Exhibit 12.10: Fiedler's contingency model of leader-situation matches (OpenStax, CC BY-NC-SA 4.0).

EXAMPLE The assembly line vs. the archeological dig

Experienced assembly line workers already know their jobs. But the leader of an **archeological expedition** may spend a lot of time telling inexperienced laborers how to dig up and care for relics.

What it shows: **path-goal theory** (House and Evans): the leader clears the path to goals people value, with rewards, clear instructions, coaching, and removing roadblocks. Unlike Fiedler, it focuses on **behavior**, so leaders can **adapt**.

Path-goal behavior	When it helps
Supportive	The task is boring, stressful, or unpleasant
Directive	Role ambiguity is high (people are unsure what's expected)
Participative	Tasks are unstructured and followers have expertise
Achievement-oriented	Sets challenging goals, drawing on people's need for achievement

Culture matters: when leaders empower followers, job satisfaction goes **up** in the U.S., Poland, and Mexico but **down** in India. Still, the task vs. relationship distinction holds across cultures.

7 Substitutes and neutralizers

EXAMPLE The master craftsperson and the union contract

A **master craftsperson** meets their own high standards without prompting. But a **union contract** that pays by seniority stops a leader from giving merit pay, and a **computer-paced assembly line** stops a leader from setting the pace.

What it shows: a **substitute** makes the leader less needed (skilled followers, routine or satisfying tasks, a cohesive group, clear rules). A **neutralizer** blocks the leader (followers who don't care about rewards, a leader with no control over rewards, rigid rules, a leader far away).

8 Transformational and charismatic leaders

Transactional leaders ("if it ain't broke, don't fix it") trade **incentives for behavior**. **Transformational** (visionary) leaders change things "in a big way" by **inspiring** people with vision, values, and passion. This builds trust and

raises satisfaction and performance. **Charismatic** leaders have, in Max Weber's words, "exceptional sanctity, heroism, or exemplary character"; they rely on **referent power** and are extremely self-confident.

> STORY **Iacocca vs. Koresh: charisma cuts both ways**
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> Followers may trust a charismatic leader without question. This can do good: **Lee Iacocca** saved thousands of jobs with his turnaround of **Chrysler**. Or harm: **David Koresh** led "dozens and dozens of men, women, and children to their fiery death in Waco, Texas."
>
> **What it shows:** without sound leadership behind it, charisma makes "pied pipers of the business world, with lots of followers but no constructive direction."

> STORY **Uber's need for an ethical leader**
>
> By 2017 Uber was in 633 cities. But under founder and CEO **Travis Kalanick** it also got a reputation as a bully. It was accused of bribing rivals' drivers and caught making fake ride requests to competitors, and ex-engineer Susan J. Fowler went public about sexual harassment. In June 2017, Kalanick agreed to step down.
>
> **What it shows:** a leader's tactics spread: "the effects are found throughout the business and its operations."

9 What leaders need now

With global competition and growing diversity, Jay Conger says leaders must be **strategic opportunists**, **globally aware**, able to run **decentralized** organizations, **sensitive to diversity**, **interpersonally competent**, and **builders of community**. In **self-managed teams**, outside leaders **empower** the team, and inside leaders are **peers** working alongside it.

> STORY **United Airlines: "You can't walk it back"**
>
> Dr. David Dao was forcibly removed from a United flight, ending up with a concussion, missing teeth, and a broken nose. The video went viral. CEO **Oscar Munoz** called it a passenger "re-accommodation" and failed to take the blame or address it in light of United's own values. Trainer Al Bolea: "It's about front line employees getting the wrong messages from the most senior levels of the company."
>
> **What it shows:** a leader sets the tone for thousands of people. Brian Fielkow's advice: get the facts, own the mistake, and above all "be human."

Quick review: Chapter 12 in 9 lines

- **Leadership** = social influence toward shared goals. Managers are **appointed**; leaders are **accepted**.
- **Process**: leader, followers, context, process, consequences. **LMX**: in groups and out groups.
- **Formal vs. informal** and **designated vs. emergent** leaders. Idiosyncrasy credits.
- **Power**: reward, coercive, legitimate, referent, expert. Coercive → resistance; expert → commitment.
- **Styles**: Tannenbaum & Schmidt continuum; Theory X vs. Y; directive/permissive autocrat/democrat.
- **Traits**: drive, leadership motivation, honesty/integrity, self-confidence, cognitive ability, business knowledge.
- **Behaviors**: consideration vs. initiating structure (Ohio State) = employee- vs. job-centered (Michigan).
- **Fiedler**: LPC + leader-member relations, task structure, position power. **Path-goal**: supportive, directive, participative, achievement-oriented.
- **Substitutes** replace the leader; **neutralizers** block. **Transactional** trades rewards; **transformational** inspires.

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